P 1 8

Pre-Leaving Certificate Examination, 2020
Triailscrúdú na hArdteistiméireachta, 2020

ACCOUNTING – HIGHER LEVEL
(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has four questions (numbers 1 – 4). The first question carries 120 marks and the remaining three questions carry 60 marks each. Candidates should answer either **QUESTION 1 only** OR answer any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).
This section has three questions (numbers 5 – 7). Each question carries 100 marks. Candidates should answer any **TWO** questions.

Section 3: Management Accounting (80 marks).
This section has two questions (numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

SECTION 1 (120 marks)
Answer **Question 1** OR any **TWO** other questions

1. Sole Trader – Final Accounts

The trial balance shown below was extracted from the books of Jim Sugrue on the 31/12/2019.

	€	€
Buildings (cost €420,000)	361,200	
Delivery vans (cost €110,000)	60,500	
Office equipment (cost €15,000)	6,000	
Patents (incorporating 3 months investment income)	54,500	
6% Investments (01/07/2019)	100,000	
8% Fixed mortgage (including €40,000 received on 01/10/2019)		220,000
Rent		5,500
Purchases and sales	347,500	522,540
Stock 01/01/2019	27,500	
Commission	8,950	
Provision for bad debts		2,950
Salaries and general expenses	79,340	
Discount	790	
Insurance	12,800	
Suspense		400
Debtors and creditors	56,390	47,650
Mortgage Interest (paid for the first three months)	3,750	
VAT	4,500	
PAYE, PRSI and USC		7,650
Bank		32,130
Drawings	23,760	
Capital		308,660
	1,147,480	1,147,480

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The following information and instructions are to be taken into account:

(i) Stock at 31/12/2019 at cost was €45,350. Included in this figure are goods **purchased** on a 'sale or return' basis. These goods had been recorded as a credit purchase with a recommended retail price of €3,600, which is cost plus 25%.

(ii) Provide for depreciation on delivery vans at an annual rate of 15% of cost from date of purchase to date of sale.

NOTE: On 30/06/2019 a delivery van, which had cost €26,000 on 31/05/2015, was traded in against a new van which cost €32,000. An allowance of €10,000 was made on the old van. The cheque for the net amount of this transaction was incorrectly treated as a purchase of trading stock. This was the only entry made in the books in respect of this transaction.

(iii) The suspense figure arises as a result of the posting of an incorrect figure for mortgage interest in the mortgage interest account (although the correct figure for mortgage interest had been entered in the bank account) and discount allowed €250 was entered only in the discount account.

(iv) Patents, which incorporate 3 months investment income received, are to be written off over a 7 year period commencing in 2019.

(v) A new warehouse was purchased on 01/01/2019 for €56,750, including VAT of 13.5%. The amount paid to the vendor was entered in the buildings account. No entry was made in the VAT account.

(vi) Provide for depreciation on buildings at a rate of 2% of cost per annum. It was decided to re-value the buildings at €500,000 on 31/12/2019.

(vii) Provision to be made for mortgage interest due and investment income due at 31/12/2019.

(viii) Goods taken by Sugrue for his own use during the year were omitted from the books. These goods had a retail value of €5,400, which is cost plus 20%.

(ix) No record has been made in the books for 'goods in transit' on 31/12/2019. The invoice for these goods had been received showing the recommended retail selling price of €7,000, which is cost plus 25%.

(x) During the year, stock which had cost €4,500 was destroyed by fire. The insurance company has agreed to pay compensation of €4,000.

(xi) A supplier who was owed €3,500 accepted office equipment with a book value €3,200 in full settlement of the debt. The office equipment had cost €4,000. No entry was made in the books in respect of this transaction. Provide for depreciation on office equipment held on 31/12/2019 at the rate of 20% of cost.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2019. (70)

(b) Prepare a balance sheet as at 31/12/2019. (50)

(120 marks)

2. Depreciation of Fixed Assets

Ashmore Transport Ltd prepares its final accounts to the 31st December each year. The company's policy is to depreciate its trucks on a straight line basis over 5 years. Scrap value is estimated at 10% of the original cost of the truck. Depreciation is charged from the date of purchase to the date of disposal.
(Calculations should be to the nearest euro.)

On 01/01/2018 Ashmore Transport Ltd owned the following trucks:

Truck no. 1, purchased on 01/07/2014 for €50,000.
Truck no. 2, purchased on 30/04/2015 for €55,000.
Truck no. 3, purchased on 31/05/2017 for €70,000.

On 30/09/2018, truck no. 1 was traded in against another truck costing €75,000. Truck no. 1 had a refrigeration unit fitted on 01/01/2016. The cost of the refrigeration unit was €8,000 and the cost of installing it was a further €1,600. This refrigeration unit was depreciated at 30% of cost per annum. The trade-in allowance was €16,000.

On 01/09/2019, truck no. 3 underwent an annual service and the cost to the company was €5,500. On the 01/12/2019 it was then decided to trade in this truck for a new one costing €82,000. The cheque paid for the new truck was €56,000.

You are required to show with workings for each of the two years, 2018 and 2019:

(a) The trucks account (8)

(b) The provision for depreciation account (29)

(c) The trucks disposal account (14)

(d) The relevant entries for the profit and loss account for the year ended 31/12/2019 and balance sheet as at 31/12/2019. (9)

(60 marks)

3. Incomplete Records

On 01/01/2019 John Burgess lodged €400,000 to a business bank account and on the same day purchased a business for €300,000, consisting of the following tangible assets and liabilities: premises €220,000, stock €11,000, debtors €10,400, light and heat due €505, trade creditors €6,750, three months' rent prepaid €510, stock of heating oil €360, stock of stationery €210 and 1.5% investments €40,000.

During 2019, Burgess did not keep a full set of books but was able to supply the following additional information on 31/12/2019:

(i) Each month Burgess took from stock goods costing €350 and issued a cheque each week for €120 to pay for household expenses.

(ii) On 01/09/2019, Burgess borrowed €300,000, part of which was used to purchase an adjoining premises costing €250,000. It was agreed that Burgess would repay the loan in 15 annual instalments of €20,000 each. The first instalment would become due and payable on 30/08/2020. Interest on the loan was calculated at 6.5% per annum to be paid at the end of each month.

(iii) During the year Burgess received a gift of €50,000 from his uncle and received investment interest of €350. He lodged both of these to the business bank account.

He also made the following payments by cheque during the year: light and heat €5,300; interest €3,900; wages and general expenses €21,400; equipment €18,000; rent for twelve months €2,500; college fees for staff education €5,000; fuel for private car €2,500.

(iv) Burgess estimated that 20% of light and heat **used** and equipment, as well as 25% of interest **payable**, should be attributed to the private section of the premises.

(v) Burgess decided to make a provision for bad debts amounting to 4% of debtors and to charge depreciation at 12.5% per annum on equipment held on 31/12/2019.

(vi) Included in the assets and liabilities of the firm on 31/12/2019 were: stock €51,400; debtors €67,000; electricity bill due €270; trade creditors €15,300. He estimated that the total value of the premises at the 31/12/2019 was €385,000.

(vii) Excluded from the information already given were goods that had been bought on a 'sale or return basis' for €2,400 and were recorded as a credit purchase of stock.

Required:

(a) Prepare, with workings, a Statement/Balance Sheet showing Burgess' profit or loss for the year ended 31/12/2019. (Show workings) (52)

(b) Two fundamental accounting principles are: (i) the Prudence Concept, and (ii) the Going Concern Concept. Explain each. (8)

(60 marks)

4. Farm Accounts

Among the assets and liabilities of Mike and Breda Casey, who carry on a mixed farming business on 01/01/2019 are: land and buildings at cost €400,000, machinery at cost €150,000, electricity due €270, value of cattle €21,000, value of sheep €14,000, milk cheque due €1,200, stock of fuel €585, stock of fertiliser €1,200.

The following is a summary of the cheque payments and lodgements for the year ending 31/12/2019:

Lodgements	€	**Payments**	€
Milk	32,000	Balance 01/01/2019	2,500
Cattle	18,000	Dairy wages	7,500
Sheep	14,000	Sheep	15,000
Lambs	11,500	Cattle	19,500
Beef premium	7,500	Light, heat and fuel	3,145
Ewe premium	10,500	Fertiliser	4,100
Forestry premium	2,500	Repairs	4,500
7 months interest from 2% investments	336	Drawings	10,400
		General farm expenses	7,700
Inheritance	20,000	Veterinary fees	4,100
		Bank Loan plus 18 months' interest at 6% per annum on 30/09/2019	32,700
		Secondhand tractor	12,000
Balance 31/12/2019	12,809	Public liability insurance	6,000
	129,145		129,145

The following information and instructions are to be taken into account:

		Cattle	**Sheep**
1.	Value of livestock on 31/12/2019:	cost €25,000 (market value €20,000)	cost €18,000 (market value €23,000)

Stock of Fertiliser on 31/12/2019 €1,660;
Stock of Fuel on 31/12/2019 €350.

2. Farm produce used by the family during the year: Lamb €310, Beef €1,240.

3. Included in the receipts for cattle sales is an amount of €1,650 which related to two animals that were sold at the mart in December 2018.

4. Veterinary fees includes a cheque for the family health insurance of €760.

5. General farm expenses, fertilisers and veterinary fees are to be apportioned 75% to cattle and milk and 25% to sheep.

6. All other expenses, including depreciation, are to be apportioned 80% to farm and 20% to household.

7. Depreciation on machinery is provided for at 15% of cost of machinery held at 31/12/2019.

8. On the 31/12/2019 there is a milk cheque due for €1,500 and there are creditors for fertilisers of €400.

9. The payment for public liability insurance was made on the basis of advice from their solicitor. It was paid for a twelve-month period commencing on 01/10/2019 and **was entirely for the farm**.

10. Bank charges €250 for the year were not recorded in the books.

Required:

(a) To prepare a statement of capital for the farm on 01/01/2019. (18)

(b) To prepare enterprise analysis accounts for "Cattle & Milk" and "Sheep" for the year ended 31/12/2019. (20)

(c) To prepare a general profit & loss account for the year ended 31/12/2019. (13)

(d) Prepare the Caseys' drawings account. (5)

(e) What are the advantages to the Caseys of preparing enterprise analysis accounts? (4)

(60 marks)

SECTION 2 (200 marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been extracted from the final accounts of Lowry plc, a company that manufactures golf clothing, for the year ended 31/12/2019. The company has an authorised capital of €2,000,000 made up of 1,500,000 ordinary shares at €1 each and 500,000 6% preference shares at €1 each. Lowry plc has already issued 800,000 ordinary shares and 200,000 6% preference shares.

Trading and Profit and Loss Account for year ended 31/12/2019	
	€
Sales	1,085,000
Opening stock	50,000
Closing stock	74,000
Cost of sales	(694,000)
Total operating expenses for the year	(185,000)
Interest for the year	(36,000)
Net profit for the year	170,000
Dividends paid	(38,000)
Retained profit	132,000
Profit and loss balance 01/01/2019	14,000
Profit and loss balance 31/12/2019	146,000

Ratios and information for the year ended 31/12/2018	
Interest cover	6 times
Earnings per ordinary share	16c
Dividend per ordinary share	12.5c
Quick ratio	1.1 : 1
Return on capital employed	12.4%
Gearing	43%
Market value of one ordinary share	€1.25
Dividend cover	1.28 times
Dividend yield	10%

Balance Sheet as at 31/12/2019		
	€	€
Fixed Assets		
Intangible	200,000	
Tangible	1,050,000	1,250,000
Investments (market value 31/12/2019 €270,000)		250,000
		1,500,000
Current Assets (including stock €74,000 and		
debtors €25,000)	120,000	
Less creditors: amounts falling due within 1 year		
Trade creditors	(74,000)	46,000
		1,546,000
Financed by:		
9% Debentures (2024/2025)		400,000
Capital and Reserves		
Ordinary shares @ €1 each	800,000	
6% Preference shares @ €1 each	200,000	
Profit and loss balance	146,000	1,146,000
		1,546,000

Market Value of one ordinary share on 31/12/2019 is **€1.48.**

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(a) **You are required to calculate the following for 2019:** (where appropriate calculations should be made to **two** decimal places).

(i) Cash purchases if the average period of credit given is 1.5 months.

(ii) Earnings per ordinary share.

(iii) Dividend cover on ordinary shares.

(iv) Rate of stock turnover.

(v) How long it would take one ordinary share to recover its value at present payout rate. (50)

(b) Indicate whether debenture holders would be satisfied with the performance, state of affairs and prospects of the company. Use relevant ratios and other information to support your answer. (40)

(c) Lowry plc is considering expansion by purchasing another company in the golf clothing business. The following information for 2019 has been obtained on two possible purchases of similar companies:

	Phairwear	**Greenewear**
Return on Capital Employed	15.2%	6.2%
Current Ratio	1.9:1	1.5:1
Liquid (Acid Test) Ratio	0.65:1	1.3:1

Advise Lowry plc which business, if any, should be purchased on the basis of the information provided. (10)

(100 marks)

6. Published Accounts

The following is the trial balance of Woodland Plc as at 31/12/2019. It has an authorised share capital of €1,250,000 made up as follows: 1,000,000 ordinary shares @ €1 each and 250,000 8% preference shares at €1 each.

	€	€
Purchases and sales	850,000	1,335,000
8% debentures 2024		250,000
Interest on debentures	8,000	
Debtors and creditors	79,000	50,000
PAYE		35,000
Bank	224,000	
Bad debt provision 01/01/2019		16,000
Profit & loss balance 01/01/2019		50,000
Rental income		30,000
Profit on sale of land		15,000
VAT		16,000
Distribution costs	43,000	
Administrative expenses	31,000	
Stock at 01/01/2019	51,000	
Motor vans at cost	160,000	
Accumulated depreciation (on motor vans)		32,000
Dividends paid	24,000	
Patents	45,000	
Wages and salaries	49,000	
Issued share capital:		
Ordinary shares		500,000
Preference shares		150,000
Advertising	41,000	
2% Investments	400,000	
Investment Income		4,000
Buildings at cost 01/01/2019	500,000	
Accumulated depreciation (on buildings)		22,000
	2,505,000	2,505,000

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The following additional information is relevant:

(i) Stock at 31/12/2019 is €45,000

(ii) Provision is to be made for: directors' fees €27,000, auditors' fees €25,000, corporation tax €78,000, debenture interest due and investment income due.

(iii) Wages and salaries are to be allocated 70% to administrative expenses and 30% to Distribution costs.

(iv) Depreciation on buildings is to be provided for at the rate of 2% p.a. straight line, and delivery vans at the rate of 15% p.a. on a **reducing balance** basis. There was no purchase or sale of buildings during the year.

(v) During the year, land which had cost €200,000 was sold for €215,000. At the end of the year it was decided to revalue the company buildings to €700,000. This valuation is now to be included in the accounts for this year.

(vi) The patent was acquired on the 01/01/2014 for €120,000; it is being amortized over eight years in equal instalments and this amortization is to be included in the cost of sales.

(vii) Included in the administrative expenses is the receipt of €4,000 in respect of patent royalties.

(viii) The company is being sued by a former employee who is claiming unfair dismissal. He is seeking damages for €100,000, i.e. two years' wages. Its legal advisors state that as all proper procedures were adhered to in the course of the dismissal it is unlikely that any compensation will have to be paid to the former employee. However, the company has received an invoice for legal fees to the value of €5,000.

Required:

(a) Prepare the published profit and loss account for the year ended 31/12/2019, and a balance sheet as at that date, in accordance with the Companies Acts and appropriate accounting standards showing the following notes:

1. Accounting policy notes for tangible fixed assets and stock;
2. Operating profit;
3. Interest payable;
4. Dividends;
5. Tangible fixed assets. (90)

(b) What is a Financial Reporting Standard (FRS)? Give an example of an FRS of which you are aware and its implications in preparation of accounts. (10)

(100 marks)

7. Correction of Errors and Suspense Account

The trial balance of John Lambe, a hardware merchant, failed to agree on the 31/12/2019. The difference was entered in a suspense account and the following balance sheet was prepared.

Balance Sheet as at 31/12/2019			
	€	€	€
Fixed Assets			
Premises		150,000	
Equipment		75,000	
Motor Vehicles		50,000	275,000
Current Assets			
Stock		55,290	
Debtors (including Suspense)		78,500	
Cash		490	
		134,280	
Creditors: amounts falling due within 1 year			
Creditors	38,750		
Bank	5,300		
VAT	12,100		
Expenses due	450	(56,600)	
Net current assets			77,680
Total assets less current liabilities			352,680
Financed by:			
Capital		325,000	
Net profit		56,000	
		381,000	
Less drawings		(28,320)	
			352,680

On examination of the books the following errors and omissions were revealed:

(i) Lambe had returned hardware stock, previously purchased on credit from a supplier for €4,500 and had entered this transaction in the correct accounts but for a figure of €5,400. However, a credit note subsequently arrived from the supplier showing a restocking charge of €200 to cover the cost of the return. The only entry made in respect of this credit note was a debit entry of €4,700 in the creditor's account.

(ii) A cheque for €4,950, paid by Lambe out of a private bank account for 15 months rent of storage space up to 30/06/2020, had not been entered in the books. Also, the Expenses due of €450, which related to a telephone bill, had been fully paid by cheque from the business bank account and was also omitted from the accounts.

(iii) Computer equipment bought on credit for the office for €2,500 was entered on the incorrect side of the creditor's account and debited to the purchases account. These were the only two

entries in relation to this transaction.

(iv) A private debt of €700, owed by Lambe, had been offset in full settlement against a business debt of €740 owed to Lambe for garden utensils previously supplied. No entry had been made in the books in respect of this offset.

(v) Lambe purchased stock on credit from Hardware Wholesalers Ltd. for €1,500 plus VAT at 23%. The only entries in the accounts were that the VAT inclusive figure was entered on the debit side of the Hardware Wholesalers Ltd. and the VAT exclusive figure was entered on the credit side of the purchases account.

Required:

(a) Journalise the necessary corrections. (50)

(b) Show a suspense account. (8)

(c) Prepare a statement showing the correct net profit. (12)

(d) Prepared a corrected balance sheet. (22)

(e) Explain:
(i) Errors of omission.
(ii) Errors of principle (8)

(100 marks)

SECTION 3 (80 marks)
Answer **ONE** question

8. Marginal Costing

Messi Ltd manufactures a new type of football. The company's profit and loss account for the year ended 31/12/2019, during which 35,000 units were bought and sold, was as follows:

	€	€
Sales (35,000 units)		630,000
– Cost of Sales		
Direct materials	175,000	
Direct labour	234,500	
Factory overheads	59,500	
Selling expenses	48,900	
Administration expenses	65,000	582,900
Net Profit		47,100

The materials, direct labour and 80% of the factory overheads are variable costs. Apart from sales commission of 3% on sales, selling and administration expenses are fixed.

You are required to calculate:

(a) The company's break-even point and margin of safety.

(b) The number of units that must be sold in 2020 if the company is to increase its net profit by 20% over the 2019 figure, assuming the selling price and cost levels and percentages remain unchanged.

(c) The profit/loss the company would make in 2020 if it reduced its selling price to €16, increased fixed costs by 10% and thereby increased the number of units sold by 5,000 units, with all other cost levels and percentages remaining unchanged.

(d) The selling price the company must charge per unit in 2020, if fixed costs increase by 15% but the volume of sales and profit remains the same.

(e) The number of units that must be sold at €20 per unit to provide a profit of 10% of the revenue received from these same units.

(f) Comment on the following:
If the company spent €50,000 on modernisation it is estimated that the improvements in efficiency amounted to savings of €2.50 per unit with a sales volume of 37,500 units. Prepare a marginal costing statement for this option and comment on your findings.

(g) (i) What limitations/assumptions are normally associated with marginal costing?

(ii) Outline the differences between marginal costing and absorption costing.

(80 marks)

9. Cash Budgeting

Russell Ltd, a high spec engineering company opening on 01/03/2020, has acquired the franchise for the sale of The Supermower, a new robotic lawnmower. Before doing so, it has made the following forecast about its operations for the months March to August of 2020:

	March	April	May	June	July	August	Total
	€	€	€	€	€	€	€
Sales	21,000	27,000	36,000	39,000	42,000	39,000	204,000
Purchases	12,600	16,200	21,600	23,400	25,200	23,400	122,400

(i) As all the mowers will be purchased to order, there will be none held in stock, except for a few demonstration models.

(ii) The expected selling price is €3,000 per unit.

(iii) The cash collection pattern from sales/debtors is expected to be:

Cash Customers 25% of sales revenue will be for immediate cash and cash discount of 4% will be allowed.

Credit Customers 75% of sales revenue will be from credit customers. These debtors will pay their bills 60% in the month after sale and the remainder in the second month after sale.

(iv) The cash payments pattern for purchases is expected to be:

Credit Suppliers The purchases will be paid for 50% in the month after purchase, when a 3% cash discount will be received. The remaining purchases will be paid for in the second month after purchase.

(v) Expenses of the business will be settled as follows:

Expected Costs Wages €1,500 per month payable as incurred. Variable overheads €50 per unit payable as incurred. Fixed overheads (including depreciation) €4,000 per month payable as incurred.

Capital Cost An installation machine costing €20,000 with an estimated useful life of 10 years and a residual value of €2,000 will be purchased on 1 March. This will be partly financed by means of a loan of €15,000 at 12% per annum. The capital sum is to be repaid in 50 equal monthly instalments commencing on 1 April. The interest for each month is to be paid on the last day of each month based on the amount of the loan outstanding at that date.

Bank Overdraft The Bank has sanctioned an overdraft facility for Russell Ltd. The terms of the overdraft arrangement are that the limit is €10,000 and interest is charged at 1.5% per month, payable one month later.

(Where appropriate all calculations to be made to the nearest euro '€')

Required:

(a) Prepare a cash budget for six months March to August 2020.
(b) Prepare a budgeted profit and loss account for the six months ended 31/08/2020.
(c) Calculate the value of trade debtors and trade creditors as at 31/08/2020.
(d) What factors would a business like Russell Ltd consider before deciding to launch a new product?

(80 marks)

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